

3. 9:00 AM CASE NUMBER: C25-00925

CASE NAME: KURTIS MILLHOLLIN VS. MICHAEL ALLIO

*FURTHER CASE MANAGEMENT CONFERENCE

FILED BY:

TENTATIVE RULING:

Appearance required. Remote appearance is authorized. Plaintiff shall appear prepared to address the status and disposition of the remaining causes of action (first cause of action for fraud and fourth cause of action for unjust enrichment against Defendant Allio) following the Court's grant of summary adjudication on the second cause of action, so that a judgment may be entered. See Line 18 below.

4. 9:00 AM CASE NUMBER: C25-03012

CASE NAME: I'YOSHI BARNES VS. DOES 1 TO 30

*FURTHER CASE MANAGEMENT CONFERENCE FCMC TO TRAIL HEARING ON MOTION IN RE: STRIKE PLAINTIFF'S COMPLAINT

FILED BY:

TENTATIVE RULING:

This CMC trails the hearing for Line 19. The Parties are ordered to appear in person or remotely via Zoom for the CMC, unless the tentative ruling for Line 18 is uncontested. If the tentative ruling is uncontested, the CMC is continued to February 25, 2027 at 8:30 in Dept. 16. The Parties are ordered to meeting and confer to discuss alternative dispute resolution.

Law & Motion

5. 9:00 AM CASE NUMBER: C22-02125

CASE NAME: SAVANNAH THOMPSON VS. JOHN MUIR HEALTH

*HEARING ON MOTION IN RE: FINAL APPROVAL OF CLASS ACTION & PAGA SET BY THE COURTROOM

FILED BY:

TENTATIVE RULING:

Summary

Plaintiff Savannah Thompson, on behalf of herself and persons similarly situated, move for Final Approval of the Class Action Settlement and Award of Attorney's Fees to Class Counsel. The Motion is **granted** as set forth herein.

Background

This action arises from allegations that Defendant John Muir Health, Inc. ("JMH") charged unconscionable "chargemaster" prices for a routine diagnostic urine test (the "Service"), pricing it at \$6,095.70 in 2022, which is almost 100 times the Medicare-allowed amount. As a result of this litigation, JMH reduced the price to \$567 effective 2023. On March 21, 2025, the court certified a class of 289 members with claims under the Consumer Legal Remedies Act ("CLRA") and Unfair Competition Law ("UCL"), including a subclass of 63 members with additional Rosenthal Fair Debt Collection Practices Act claims.

Following class certification, the parties engaged in direct, arm's-length negotiations and reached a

settlement providing complete refunds or credits to Class Members for all out-of-pocket charges paid or owed for the Service, restoring them to the financial position they would have occupied had the charge been zero after accounting for insurance benefits. The 63 Rosenthal Act subclass members receive an additional \$750 each for release of those claims. The Settlement also includes injunctive relief requiring JMH to maintain the reduced chargemaster pricing for the Service through 2027.

The court granted preliminary approval on December 12, 2025, and ordered notice to the Class. Notice was accomplished through direct-mailed postcard notices to 289 Class Members, reaching 249, with a dedicated website containing all required information. The notice program has concluded with only one Class Member opting out and no objections received.

The aggregate Settlement benefits total \$696,266.39, comprising \$59,483.22 in cash refunds to 46 Class Members and \$636,783.17 in credits against outstanding account balances for 243 Class Members. Any residual funds from uncashed checks will be distributed *cy pres* to Bay Area Legal Aid. All Class Members who did not opt out will automatically receive Settlement benefits.

JMH separately agreed to pay settlement administration costs of \$15,000 and a service award to Representative Plaintiff Savannah Thompson in the form of a \$3,629.90 credit against her account balance. The Settlement cap on attorney fees was a condition insisted upon by JMH to facilitate resolution. Class Counsel agreed to this cap despite their actual lodestar of \$850,550 plus \$5,976.65 in expenses, representing more than a 30% discount.

Class Counsel asserts that they navigated complex legal and factual issues in a challenging environment where similar hospital pricing challenges have routinely failed at the pleading stage or been denied class certification. According to Class Counsel, this is the first known case of its type to achieve class certification in California. Class Counsel maintains that the \$600,000 fee cap accounts for the contingent risk undertaken and the quality of representation, and is significantly below what Class Counsel would otherwise be entitled to recover under the *Lodestar* method applicable to CLRA and Rosenthal Act fee-shifting provisions.

The Settlement was negotiated without a "clear sailing" agreement. JMH retained the right to oppose the fee application, which they have done here.

Analysis

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "the court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that

Neary does not always apply, because “where the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Other Costs

The requested representative payment of \$3,629.90 as a credit to plaintiff’s account was deferred until this final approval motion. Criteria for evaluation of such requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-07. The representative payment is approved.

Litigation costs of \$5,976.65 are reasonable and are approved. The settlement administrator’s costs of \$15,000 are reasonable and are approved.

Attorney’s Fees

Class Counsel seek \$600,000 in attorney’s fees, which they claim accounts for the contingent risk undertaken and the quality of representation, and is significantly below what Class Counsel would otherwise be entitled to recover under the *Lodestar* method applicable to CLRA and Rosenthal Act fee-shifting provisions.

JMH does not oppose final approval of the settlement but objects to Class Counsel's request for \$600,000 in attorney fees and expenses. JMH contends that Class Counsel's claimed lodestar of \$850,550 (plus \$5,976.65 in expenses) is excessive and should be reduced by at least 30%, and that a negative multiplier should then be applied to reflect the minimal success achieved, yielding a total award of only \$175,000–\$225,000.

JMH further argues that Class Counsel's claimed lodestar is inflated due to partner-heavy staffing and some duplicative work. Class Counsel billed 993 total hours, of which 914 hours (92%) were billed by two partners at partner rates, with no junior or mid-level attorneys and only 79 hours of paralegal time. By comparison, JMH's counsel (Sheppard Mullin) billed only 670 total hours, with just 241 partner hours, to achieve the same result. JMH contends that much of the work performed by partners—such as research, document review, and drafting—should have been delegated to junior attorneys, and that having only two partners necessarily resulted in duplicative efforts.

JMH also argues that Class Counsel achieved minimal success relative to the fees sought. The central relief sought—a reduction in the chargemaster rate from \$6,095 to \$567—was accomplished by JMH in January 2023, before JMH filed any responsive pleading, when Class Counsel's lodestar was approximately \$100,000. Thereafter, Class Counsel incurred an additional \$750,000 in fees to obtain relief for only 287 class members (2.16% of the 13,270 total patients billed for the service), with only 46 receiving cash payments totaling \$59,483.22. The remaining 241 class members received "credits" against outstanding balances that JMH contends were unlikely to ever be collected.

JMH highlights that it warned Class Counsel of these limitations in January 2024, before significant fees were incurred. In a letter, Sheppard Mullin advised that the only certifiable class would be limited to Kaiser-insured and self-pay patients, with cash exposure of only approximately \$50,000. Class Counsel rejected mediation at that time (when their lodestar was \$350,502) and proceeded to incur an additional \$504,700 in fees to achieve a settlement nearly identical to what had been predicted.

JMH requests that the court reduce the claimed lodestar by approximately 30% to account for

excessive and duplicative partner hours, and then apply a negative multiplier to reflect the limited success obtained, resulting in a fee award of \$175,000–\$225,000 (25–33% of the total class benefit), inclusive of unchallenged expenses.

The court has considered Defendant JMH opposition to Class Counsel's attorney fee application, as well as Class Counsel's reply. In their reply, Class Counsel contend that the opposition is inconsistent with the maxim that a party cannot litigate tenaciously and subsequently complain about the time necessarily expended by the prevailing party in response. Class Counsel emphasize that they voluntarily agreed to accept a fee award capped at \$600,000, representing a reduction of more than 30% from their calculated lodestar of \$850,550. This concession, they argue, obviates the need for further reduction and renders reasonable an award that might otherwise warrant enhancement based on contingency risk, novelty of the issues, and results obtained.

With respect to the procedural history, Class Counsel dispute Defendant's characterization of its willingness to settle. The record reflects that following Plaintiff's service of a 30-day cure notice pursuant to the Consumer Legal Remedies Act in September 2022, Defendant rejected the proposed remedy and vigorously defended the action. While Defendant reduced its chargemaster price for the Service effective January 2023, Class Counsel maintain that this reduction was not communicated as a settlement gesture and that Defendant did not propose a class-wide resolution until after Plaintiff prevailed on the motion for class certification. The court notes that the parties ultimately reached settlement following the certification order.

Regarding Defendant's challenges to the lodestar, Class Counsel argue that Defendant has failed to satisfy its burden of identifying specific time entries that are excessive, duplicative, or unreasonable. Defendant's reliance upon comparative billing data from its own counsel is of limited utility; plaintiff-side class action litigation typically requires greater investment of attorney time, as counsel bear the burden of production, must proactively develop the factual record, and are required to master complex subject matter in which defense counsel are typically already versed. Class Counsel also correctly observe that consumer protection statutes with mandatory fee-shifting provisions do not require proportionality between fees recovered and monetary damages awarded; the legislative purpose of such provisions is to encourage enforcement of consumer rights, and fee awards are not limited to a percentage of the class recovery.

Based on the record, the court finds that the fees requested are reasonable, with a minor reduction to account for efficiencies that could have been achieved had the work been performed by non-partner attorneys. The Court finds that a ten percent (10%) reduction from the amount is warranted, resulting in an award of attorney's fees (\$600,000- \$60,000) of \$540,000.

Conclusion

1. The court finds that the settlement is fair, reasonable, and adequate, with a minor reduction of 10% of attorneys, resulting in an award of \$540,000 in fees.
2. The motion is **granted**.
3. Plaintiff's counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order, attaching a copy of this ruling.
4. Plaintiffs' counsel is ordered to schedule a compliance hearing with the clerk of the court no later than one year from the date of this hearing, and is ordered to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance, an accounting of the

disbursements, including amounts sent to Bay Area Legal Aid as *cy pres* recipient, as found by the court.

5. No appearance is required at the hearing on September 2, 2026.

6. 9:00 AM CASE NUMBER: C23-00664

CASE NAME: KAREN LARKIN VS. BARBARA SCHURHOFF

HEARING IN RE: MOTION (EX PARTE TO CONTINUE THE TRIAL AND RELATED DATES) FILED ON 8/19/26 BY BARBARA SCHURHOF

FILED BY:

TENTATIVE RULING:

Summary

Before the Court is Defendant Barbara Schurhoff (Deceased) Motion to Continue the Trial Date currently set for November 2, 2026, along with related discovery and expert deadlines for six (6) months. Defendant requests a continuance in order to conduct Independent Medical Examinations on vascular and orthopedic issues. As set forth below, this motion is **denied**.

Background

Plaintiff Karen Larkin ("Plaintiff") initiated this action and seeks \$3.3 million in damages against Defendant Barbara Schurhoff ("Defendant") for alleged injuries sustained in an April 1, 2021 incident. Plaintiff was allegedly struck by a golf cart driven by Defendant, who is now deceased. The trial in this matter is currently set for November 2, 2026. The settlement conference is set for August 28, 2026. This is Defendant's first request for a continuance.

Defendant claims that Plaintiff has placed both orthopedic conditions (crush injuries, contusions, altered gait, sciatica, neck pain, upper-extremity symptoms) and vascular conditions (bilateral venous insufficiency, sclerotherapy) at issue in this action. Orthopedics and vascular medicine are distinct medical specialties requiring separate expertise. Plaintiff stipulated to a vascular Independent Medical Examination ("IME"), which is scheduled for August 27, 2026.

However, Defendant claims that Plaintiff refused to stipulate to an orthopedic IME, necessitating Defendant's Motion to Compel Plaintiff to Submit to a Second IME ("MTC"). That motion is currently scheduled for January 20, 2027, well after the November 2, 2026 trial date. The Civil Law Division of this Court manages over 25,000 active cases. Department 16, alone, manages 2,700 active cases, including class actions, complex litigation, construction defect and PAGA matters. There are simply not enough hearing dates available to accommodate a hearing on the regular calendar until January, 2027.

Defendant claims to have exercised due diligence in attempting to obtain the orthopedic IME:

- On May 20, 2026, Defendant requested Plaintiff's stipulation to the orthopedic IME;
- On July 1, 2026, Defendant served a formal Demand for Second IME;
- On July 8, 2026, the parties met and conferred regarding the examination;
- On August 4, 2026, Defendant filed the MTC;
- On August 10, 2026, Defendant requested Plaintiff's stipulation to continue the trial;
- On August 12, 2026, Plaintiff refused to stipulate to the continuance.